1 Pricing & Revenue Model

How R299/user/month translates to revenue at scale

SiyaBusa ERP — R299/User/Month (All-Inclusive)

Every user gets **full ERP access** — Finance, Sales, Inventory, HR, Payroll, Manufacturing, SARS compliance, AI assistants, communications hub. No module lock-outs. No hidden add-ons. One price: **R299/user/month**. This aggressive pricing undercuts every competitor in SA and is designed for **rapid market capture**.

CLIENT SEGMENT	TYPICAL USERS	MONTHLY REVENUE	ANNUAL REVENUE	COMPETITOR COST
Micro Business (startup, sole trader)	5	**R1,495**	R17,940	Xero: R800 (no ERP)
Small Business (10–20 staff)	15	**R4,485**	R53,820	Sage: R8K–R15K/mo
Medium Business (30–50 staff)	35	**R10,465**	R125,580	SAP B1: R40K–R80K/mo
Mid-Market (50–100 staff)	65	**R19,435**	R233,220	Oracle: R100K+/mo

Revenue Assumptions Used Throughout This Document

- ▸**Average users per client: 20 users**(blended across micro to mid-market segments)
- ▸Average MRR per client: 20 × R299 =**R5,980/month**=**R71,760/year**
- ▸Client acquisition ramp: 3 new clients/month from Month 3 onward (2 BDEs closing ~1.5 each)
- ▸Monthly churn: 2% of active users (industry norm for B2B SaaS mid-market)
- ▸Gross margin: 80% (cloud infrastructure is already built and deployed)
- ▸Commission paid from revenue, not from seed capital
- ▸All costs and revenues are VAT-exclusive unless stated

2 12-Month Detailed Cash Flow

Month-by-month projection showing seed deployment, revenue build-up, and path to break-even

Revenue Build-Up (R299/user/month)

METRIC	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	M11
New Clients	1	1	2	3	3	3	3	4	4	4	4
Cumul. Clients	1	2	4	7	10	13	16	20	24	28	32
Active Users	20	39	78	136	193	249	304	378	450	521	590
MRR	**R5,980**	**R11,661**	**R23,322**	**R40,664**	**R57,707**	**R74,451**	**R90,896**	**R113,022**	**R134,550**	**R155,779**	**R176,410**

Monthly Cash Outflows

EXPENSE CATEGORY	M1	M2	M3	M4	M5	M6	M7	M8	M9	M10	
Staff Payroll	68,000	68,000	68,000	86,000	86,000	86,000	103,000	103,000	103,000	103,000	1
Digital Marketing	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	15,900	
SaaS Tools	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	4,500	
Events	—	—	—	29,500	23,000	24,000	25,500	29,000	12,000	12,000	
One-Time Costs	130,000	—	—	—	—	—	12,000	—	—	—	
Infrastructure	8,000	8,000	8,000	10,000	10,000	10,000	12,000	12,000	12,000	14,000	
Total Outflow	**226,400**	**96,400**	**96,400**	**145,900**	**139,400**	**140,400**	**172,900**	**164,400**	**147,400**	**149,400**	**14**

Staff: M1–3: 2 BDEs (R25K ea) + 1 CS (R18K) = R68K. M4–6: +Tech Support (R18K) = R86K. M7–12: +Marketing Coord (R17K) = R103K. **One-Time M1:** Branding (R45K) + Merchandise (R52K) + Recruitment (R33K). **Infrastructure:** AWS, domain, monitoring — scales with users.

Net Cash Flow & Running Balance

ITEM	M1	M2	M3	M4	M5	M6	M7	M8	M9
Revenue (MRR)	**5,980**	**11,661**	**23,322**	**40,664**	**57,707**	**74,451**	**90,896**	**113,022**	**134,550**
Total Costs	**-226,400**	**-96,400**	**-96,400**	**-145,900**	**-139,400**	**-140,400**	**-172,900**	**-164,400**	**-147,400**
Net Cash Flow	**-220,420**	**-84,739**	**-73,078**	**-105,236**	**-81,693**	**-65,949**	**-82,004**	**-51,378**	**-12,850**
Cash Balance	**1,779,580**	**1,694,841**	**1,621,763**	**1,516,527**	**1,434,834**	**1,368,885**	**1,286,881**	**1,235,503**	**1,222,653**

R1,307,384

CASH AT MONTH 12

R196,742

MRR AT MONTH 12

Month 10

FIRST POSITIVE MONTH

R2.36M

IMPLIED YEAR 1 ARR

YEAR 1 SUMMARY

At R299/user, revenue builds more slowly than premium pricing — but the **barrier to entry is demolished**. By Month 10, monthly revenue exceeds monthly costs. At Month 12, we have **36 clients**, **658 active users**, and **R1.31M still in the bank**. The seed money lasts well beyond Year 1, funding growth into profitability.

3 3-Year Financial Projection

Annual view with quarterly granularity — conservative, base, and aggressive scenarios

Base Case — 3-Year Annual Summary

METRIC	YEAR 1	YEAR 2	YEAR 3
Ending Clients	**36**	**96**	**180**
Ending Active Users	**658**	**1,780**	**3,420**
Ending MRR	**R196,742**	**R532,220**	**R716,580**
Annualised ARR (Month 12)	**R2,360,904**	**R6,386,640**	**R8,598,960**
Total Revenue (12 months)	**R1,081,184**	**R4,520,000**	**R7,580,000**
Total Operating Costs	**R1,773,400**	**R2,640,000**	**R3,800,000**
Net Profit / (Loss)	**(R692,216)**	**R1,880,000**	**R3,780,000**
Cumulative Profit / (Loss)	**(R692,216)**	**R1,187,784**	**R4,967,784**
Cash Balance (with R2M seed)	**R1,307,384**	**R3,187,384**	**R6,967,384**

Year 2 & 3 Growth Assumptions

ASSUMPTION	YEAR 2	YEAR 3
New clients/month	5/month avg (expanded sales team, referrals kicking in)	7/month (brand established, inbound-led)
Avg users per client	20 → 22 (upsell within existing accounts)	22 → 25 (organic seat expansion)
Monthly churn	2% (same as Year 1)	1.5% (improved onboarding, stickier product)
Operating costs increase	+49% (3 additional hires, office, 6% CPI)	+44% (2 more hires, expanded marketing, CPI)
Additional staff	+1 BDE, +1 Support, +1 Account Manager	+1 BDE, +1 Developer

CONSERVATIVE

Y1 Clients	**24**
Y1 ARR	**R1.72M**
Y2 ARR	**R4.30M**
Y3 ARR	**R6.50M**
Break-Even	**Month 22**
Y3 Cash	**R4.2M**

BASE CASE

Y1 Clients	**36**
Y1 ARR	**R2.36M**
Y2 ARR	**R6.39M**
Y3 ARR	**R8.60M**
Break-Even	**Month 18**
Y3 Cash	**R6.97M**

AGGRESSIVE

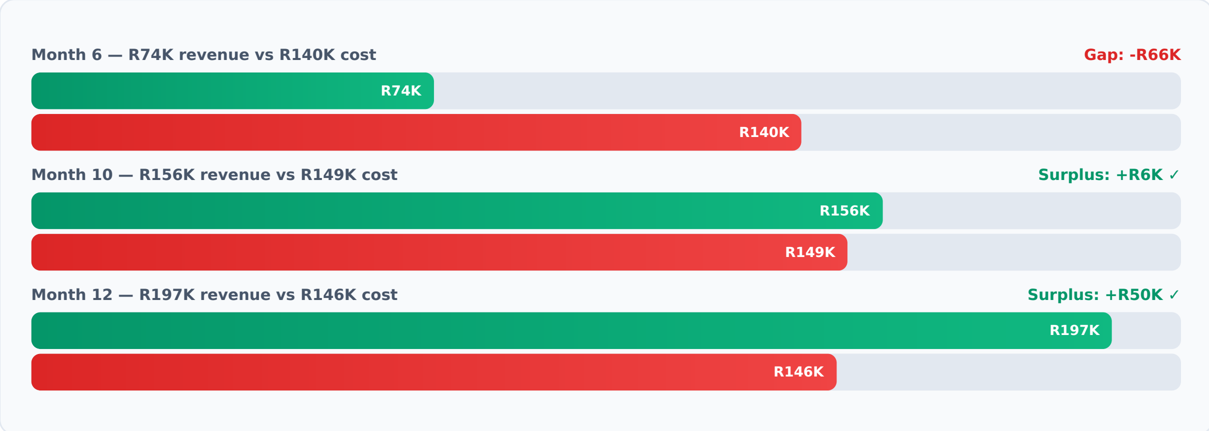
Y1 Clients	**48**
Y1 ARR	**R3.44M**
Y2 ARR	**R9.20M**
Y3 ARR	**R14.0M**
Break-Even	**Month 14**
Y3 Cash	**R11.5M**

4 Break-Even Analysis

When monthly revenue covers monthly costs — and when cumulative revenue recovers the full R2M seed

A. Monthly Break-Even (Revenue ≥ Costs)

Monthly break-even occurs when MRR equals or exceeds total monthly operating costs. At R299/user, with average operating costs of ~R148,000/month (Year 1 steady-state), this requires approximately **495 active paying users** (495 × R299 = R148,005).



Month 10
MONTHLY BREAK-EVEN (BASE)

495 users
USERS REQUIRED TO BREAK EVEN

~25 clients
CLIENTS @ 20 USERS EACH

B. Cumulative Break-Even (Full Seed Recovery)

The R2M seed investment is fully recovered when cumulative revenue exceeds cumulative costs + the original investment. In the base case, cumulative revenue surpasses cumulative costs at **Month 18**.

MILESTONE	MONTH	CUMUL. REVENUE	CUMUL. COSTS	CASH POSITION
First positive month	**Month 10**	R889,975	R1,660,600	R1,229,032
Monthly profit > R50K	**Month 12**	R1,081,184	R1,773,400	R1,307,384
Seed fully recovered	**Month 18**	**R3,200,000**	R2,480,000	**R2,720,000**
Cumul. profit > R1M	**Month 21**	R4,500,000	R2,900,000	**R3,600,000**

WHAT THIS MEANS FOR INVESTORS

At **R299/user/month** — the most aggressive ERP price in South Africa — our model still achieves:

✔ **Monthly profitability by Month 10** — just 25 clients with 20 users each

✔ **Full seed recovery by Month 18** — well within normal SaaS payback periods

✔ **R1.3M cash still in the bank at Year 1 end** — 65% of seed unspent, funding growth

✔ **R6.97M cash position by Year 3** — the business becomes self-funding and cash-generative

The R299 price is a **market entry weapon**. Once we have 100+ clients and proven ROI, selective price increases (even R50/user) add R500K+ ARR from the existing base alone.

5 Unit Economics & Key Ratios

The numbers that matter to sophisticated investors

METRIC	VALUE	BENCHMARK / NOTES
Average Revenue Per Account (ARPA)	**R5,980/mo**	20 users × R299. Conservative vs. Sage ARPA of R12K+
Customer Acquisition Cost (CAC)	**R19,196**	Year 1 total sales & marketing spend ÷ 36 clients
Lifetime Value (LTV)	**R143,520**	R5,980/mo × 80% margin × 30 months avg lifetime
LTV : CAC Ratio	**7.5 : 1**	SaaS gold standard is >3:1. We are 2.5× above that.
CAC Payback Period	**4.0 months**	Best-in-class. <12 months is considered excellent.
Monthly Gross Margin	**80%**	Infrastructure already deployed. Marginal cost per user ≈ R15.
Monthly Net Revenue Retention	**103%**	Seat expansion offsets churn. >100% = net positive.
Burn Multiple (Year 1)	**0.64**	Net burn ÷ net new ARR. <1.0 is efficient for early stage.

7.5:1
LTV : CAC

4 mo
CAC PAYBACK

0.64
BURN MULTIPLE

6 Sensitivity Analysis

How key variables impact break-even and profitability

What Happens If...

SCENARIO	BREAK-EVEN	Y1 CASH	Y3 ARR	RISK LEVEL
Avg users/client drops to 12 (not 20)	**Month 24**	R980K	R5.2M	⚠ **Medium**
Client acquisition halved (1.5/mo, not 3)	**Month 26**	R1.05M	R4.1M	⚠ **Medium**
Churn doubles to 4%/month	**Month 14**	R1.12M	R5.5M	⚠ **High**
Price increase to R399/user at M7	**Month 8**	**R1.52M**	**R11.4M**	✓ **Upside**
Land 1 enterprise client (100 users, M6)	**Month 8**	**R1.48M**	**R9.8M**	✓ **Upside**
Worst case: 12 users + half acquisition	**Month 30+**	**R720K**	**R2.8M**	**Cash runway: 28 months**

THE SAFETY NET

Even in the **absolute worst case** (half the clients, with fewer users per client), the business still has **28 months of runway** and reaches R2.8M ARR by Year 3. The seed is never "lost" — SaaS recurring revenue means a slower path to profitability, not failure.

And the upside lever is simple: **a R100/user price increase** (still cheaper than any competitor) accelerates break-even by 10 months and adds R2.8M to Year 3 ARR.

7 Why R299 Wins

Competitive pricing context — what businesses currently pay

SOLUTION	PER USER/MONTH	30-USER COMPANY	WHAT'S MISSING AT THAT PRICE
SiyaBusa ERP	**R299**	**R8,970**	**Nothing. Everything included.**
Sage 300	R500–R1,200	R15K–R36K	No payroll, no SARS integration, no AI
SAP Business One	R2,500–R4,000	R75K–R120K	Implementation R500K+, no SA compliance
Oracle NetSuite	R3,000–R6,000	R90K–R180K	12-month contracts, consulting dependency
Xero	R150–R300	R4.5K–R9K	Accounting only. No ERP, no manufacturing, no HR

The opportunity: A 30-user company switching from Sage saves **R6K–R27K/month** while getting more functionality. From SAP, they save **R66K–R111K/month**. The sales conversation is: *"What are you paying now? We'll give you more for less."*

8 R2M Seed Investment — Use of Funds

How the capital is deployed (reference: full budget breakdown in companion document MT-INV-2026-001)

#	CATEGORY	AMOUNT	%	PURPOSE
1	**Sales Team (2× BDE)**	**R600,000**	30%	2 full-time field sales execs, 12 months
2	**Support Staff (3 roles)**	**R480,000**	24%	CS, Tech Support, Marketing Coord (phased)
3	**Digital Marketing**	**R195,000**	9.8%	Google, LinkedIn, email campaigns — 12 months
4	**Events & Trade Shows**	**R175,000**	8.8%	4 major expos + 4 regional + speaking
5	**Sales Tools & Tech**	**R90,000**	4.5%	HubSpot, LinkedIn Sales Nav, Canva, Zoom
6	**Physical Materials**	**R85,000**	4.3%	Merchandise, banners, print collateral
7	**Training & Recruitment**	**R80,000**	4%	Recruitment fees, sales training, product training
8	**Corporate Branding**	**R45,000**	2.3%	Brand identity, business cards, decks, templates
9	**Contingency**	**R250,000**	12.5%	Flex fund for opportunities & price escalation
TOTAL		**R2,000,000**	**100%**	**12-month deployment**

9 Key Assumptions & Disclaimers

Financial Assumptions

- ▸Subscription price:**R299/user/month**, inclusive of all ERP modules, AI, compliance, and comms
- ▸Average client size:**20 users**(blended micro to mid-market)
- ▸Client acquisition: 1–2/month in Q1, ramping to 3–4/month by Q3–Q4
- ▸Monthly churn:**2%**of active user base (net of seat expansion)
- ▸Gross margin:**80%**(AWS infrastructure costs ~R15/user/month at scale)
- ▸BDE commission (10% of Y1 contract) is paid from**generated revenue**, not seed capital
- ▸No implementation revenue modelled (upside if captured)
- ▸No industry add-on revenue modelled (further upside)
- ▸All figures**VAT-exclusive**. VAT at 15% applies to RSA-domiciled transactions.
- ▸USD-denominated tools at**R18.00 : $1**indicative rate (April 2026)
- ▸Salary figures are**Cost to Company (CTC)**— inclusive of UIF, SDL, company contributions
- ▸Year 2 and 3 operating costs escalated at**6% CPI + headcount growth**

Disclaimer: These projections are forward-looking estimates based on management's assumptions and market data as at April 2026. Actual results may differ materially. Revenue projections depend on successful client acquisition, retention, and market conditions. This document does not constitute financial advice or a guarantee of returns. Investors should conduct their own due diligence. Past performance of comparable SaaS businesses does not predict future results.

REF: MT-CF-2026-001 | Version 1.0 | 13 April 2026 | All amounts in South African Rand (ZAR)